

**KAPCHORUA TEA COMPANY
LIMITED**

**REPORTS AND FINANCIAL
STATEMENTS**

**FOR THE YEAR ENDED
31 MARCH 2014**

KAPCHORUA TEA COMPANY LIMITED

REPORTS AND FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 MARCH 2014

CONTENTS	PAGES
Notice of the annual general meeting	2
Corporate information	3
Financial highlights	4
Chairman's statement	5 - 8
Corporate governance statement	9 - 11
Report of the directors	12 - 13
Statement of directors' responsibilities	14
Independent auditors' report	15 - 16
Financial statements:	
Statement of profit or loss and other comprehensive income	17
Statement of financial position	18
Statement of changes in equity	19
Statement of cash flows	20
Notes to the financial statements	21 - 50

KAPCHORUA TEA COMPANY LIMITED

NOTICE OF THE ANNUAL GENERAL MEETING

NOTICE IS HEREBY GIVEN that the Sixty Fifth ANNUAL GENERAL MEETING of the Shareholders will be held at the Nairobi Club, Ngong Road, on Wednesday 2 July 2014 at 10.00 a.m. for the following purpose:

Ordinary Business:

- 1) To receive and adopt the report of the Directors together with the audited financial statements for the year ended 31 March 2014.
- 2) To declare a dividend.
- 3) To elect Directors:
 - i) In accordance with Article 95 of the Company's Articles of Association, Mr. Ezekiel N K. Wanjama, retires by rotation and offers himself for re-election.
 - ii) In accordance with Article 95 of the Company's Articles of Association, Mr. James P Brooks, retires by rotation and offers himself for re-election.
- 4) To approve the remuneration of the Directors.
- 5) To authorise the Directors to reappoint/ appoint Auditors and agree their remuneration.
- 6) To transact such other business as may be brought before the meeting.

BY ORDER OF THE BOARD



GILBERT K MASAKI

SECRETARY

Thursday June 5, 2014

A Member entitled to attend and vote at the Annual General Meeting is entitled to appoint another person as his/her proxy to attend and vote instead of him/her, and such proxy need not also be a member of the company.

A form of proxy is provided with this report which shareholders who do not propose to be at the Meeting are requested to complete and return to the registered office of the company so as to arrive not later than Twenty Four hours before the meeting.

KAPCHORUA TEA COMPANY LIMITED

CORPORATE INFORMATION

DIRECTORS	E N K Wanjama S N Thumbi J P Brooks M Koech A L Carmichael* P Magor* A S Marsh* * British	- Chairman - Resigned 5 June 2014
GOVERNANCE & AUDIT COMMITTEE	J P Brooks M Koech	
BOARD NOMINATING COMMITTEE	E N K Wanjama A.L Carmichael* P Magor* * British	- Chairman - Managing Director - Non executive Director
REMUNERATION COMMITTEE	E N K Wanjama A.L Carmichael* P Magor* * British	- Chairman - Managing Director - Non executive Director
SECRETARY	Gilbert K Masaki Certified Public Secretary (Kenya) P. O. Box 42281 - 00100 Nairobi	
REGISTERED OFFICE	Karen Office Park The Acacia Block, 2nd Floor Langata Road P.O. Box 42281 - 00100 Nairobi	
AUDITORS	Deloitte & Touche Certified Public Accountants (Kenya) Deloitte Place, Waiyaki Way, Muthangari P. O. Box 40092 - 00100 Nairobi	
BANKERS	Barclays Bank of Kenya Limited Barclays Plaza Business Centre P. O. Box 46661 - 00100 Nairobi Barclays Bank of Kenya Limited Eldoret Branch P. O. Box 22 - 030030 Eldoret	
LAWYERS	Kaplan & Stratton Williamson House, 9 th Floor 4 th Ngong Avenue P. O. Box 40111 - 00100 Nairobi Walker Kottos Hakika House Bishops Road P. O. Box 60680 - 00200 Nairobi	

KAPCHORUA TEA COMPANY LIMITED
FINANCIAL HIGHLIGHTS

		2014	2013	2012	2011	2010	2009
Tea production							
Area under tea	Hectares	633	633	637	665	661	673
Made tea - own	'000 kgs	2,259	2,288	2,109	2,131	2,032	1,666
- bought leaf	'000 kgs	3,445	3,915	3,758	3,891	4,027	3,544
Total	'000 kgs	5,704	6,203	5,867	6,022	6,059	5,210
Tea sold	'000 kgs	5,593	5,808	5,929	6,467	5,821	4,871
Average sales price per kg (gross)	Sh	213.37	233.14	237.31	191.89	193.46	149.27
Turnover (Sh'000)		1,192,489	1,353,206	1,406,794	1,246,636	1,130,108	743,079
Profit (Sh'000)							
Profit before taxation		182,079	255,753	112,576	268,393	199,538	99,735
Taxation		(56,088)	(76,035)	(34,608)	(81,388)	(60,286)	(29,827)
Profit after taxation		125,991	179,718	77,968	187,005	139,252	69,908
Capital employed (Sh'000)							
Property, plant and equipment		396,142	418,509	460,977	253,653	263,066	280,831
Prepaid operating leases		21,669	21,693	21,717	21,741	21,765	21,789
Intangible assets		47	255	565	330	665	1,330
Biological assets		888,966	813,964	726,731	717,820	533,957	515,489
Investments		717	717	717	717	717	717
Current assets		621,620	823,337	752,190	575,942	678,761	347,641
Total assets		1,929,161	2,078,475	1,962,897	1,570,203	1,498,931	1,167,797
Liabilities (Sh'000)							
Medium term borrowings		-	-	-	-	4,054	8,602
Provision for employee entitlements		96,391	86,738	76,149	70,325	60,755	65,581
Deferred income taxes		330,250	318,739	296,218	249,388	201,773	197,737
Current liabilities		121,855	388,985	456,895	274,093	413,617	206,617
Total liabilities		548,496	794,462	829,262	593,806	680,199	478,537
Net assets		1,380,665	1,284,013	1,133,635	976,397	818,732	689,260
Financed by (Sh'000)							
Share capital		19,560	19,560	19,560	19,560	19,560	19,560
Reserves		1,361,105	1,264,453	1,114,075	956,837	799,172	669,700
Shareholders' funds		1,380,665	1,284,013	1,133,635	976,397	818,732	689,260
EARNINGS PER SHARE Sh		32.21	45.94	19.93	47.80	35.60	17.87
DIVIDENDS PER SHARE (par value)	%	100	150	150	175	125	50
DIVIDENDS PER SHARE	Sh	5	7.50	7.50	8.75	6.25	2.50
DIVIDEND COVER	Times	6.44	6.13	2.67	5.46	5.70	7.15
Closing exchange rates	US \$	86.44	85.64	83.06	83.25	77.30	80.45
	UK £	143.81	129.61	132.75	134.03	116.58	115.12

KAPCHORUA TEA COMPANY LIMITED

CHAIRMAN'S STATEMENT

Results

I am pleased to report that the company recorded a profit of Sh 77 million resulting from its operating activities. We refer you to page 17 of the financial statements which details the profit available for distribution through operational activities and the profit as a result of change in fair value of biological assets. Fair valuation of biological assets is performed annually to incorporate price changes and biological transformation as required by the International Financial Reporting Standards. The result of the annual revaluation change may be misleading to shareholders as it is included in the profit before tax figures but is not realizable for distribution and only represents an estimated book figure for accounting compliance. On the 19th March 2014 we issued a profit warning for your company that results were likely to be at least 25% lower. The results whilst weaker by 30% remain due testament to our considerable efforts to strive to cope with very weak markets and very significant price decline.

Our Farm

The year under review saw reasonable weather conditions. Rainfall was throughout the year, sometimes erratically distributed, and less than the year before by 800 mm. However the farm made a crop of 5.68 million kilos of made tea. Some of the crop losses on the previous year were strategic, based on the costs of purchasing firewood and the desire to better manage existing factory capacities with less days of over loading than the year before. Other reasons do include the decline of smallholder green leaf deliveries following our decision to pay a final payment each month for the green leaf purchased rather than a split 3 payment system comprising of an initial, an interim and final payment.

Our relationships with green leaf smallholders and their contribution as partners in achieving our annual crop is again warmly recognized an essential input to the cropping levels. As a company we value the contributions. In previous years we had paid our rates in 3 stages. However, we concluded that a monthly rate, adjustable according to market prices for tea each month and representing a full and final payment each month was more equitable for your company and indeed for the smallholder farmer, leaving the farmer to decide how best to invest or distribute a higher monthly monetary figure. Change is always accompanied by some challenges and not all smallholders were comfortable with these adjustments. However as we go to press the system has been accepted by the majority and is working well.

As a company we take both our commercial activities and Corporate Social Responsibilities very seriously. We continue to be very actively engaged in securing our own source of firewood from our own gum plantations to enable us to operate our factory with the desired high volumes of green leaf. The cycle of these gum plantations from planting to harvesting is approximately 10-12 years. By the end of 2018, we hope to have secured sufficient areas on our own land to manage our factories responsibly with our own resources. When we buy firewood, which is a costly operation, we only buy from mature and sustainable gum plantations. Regrettably, as stated last year, we continue to see immature and unseasoned wood from indigenous or unsustainable sources being sold, even on the roadsides.

Considerable work continues to go into managing our automated tea harvesting. Our workforce is now trained to operate sophisticated machinery, and we have improved the quality of leaf harvested over the gains made last year to the continuing benefit of the Company and our customers. We would wish to emphasize that our workforce, our staff and our management, our human capital, remains our most prized asset. However we have a clear commitment to progress, to generate and motivate a highly skilled workforce and industrialize in line with Kenya Vision 2030 to secure long term sustainability for the Company.

We continue to add value by planting new tea varieties. These varieties add diversification to our products and will over time, add to our production strength as they replace older, lower yielding teas. In addition we are in a partnership with other farmers investigating new varieties that may assist us in combating climate change in the years to come.

KAPCHORUA TEA COMPANY LIMITED

CHAIRMAN'S STATEMENT (Continued)

Our Farm (Continued)

We very much regret to report that during the year a brutal and cowardly murder of one of our assistant managers and his wife, in front of one of their small child, was perpetrated on the farm. This was a shocking and appalling act of violence hitherto completely alien to the tea farming communities and I am sure you will agree in sending out our deepest sympathies to the surviving family members. The killers have not been brought to justice. In addition another assistant was very badly wounded at the same time. His rehabilitation has been long and arduous but I am pleased to say he is getting stronger as each day passes.

Markets

Higher crops throughout Kenya in the year under review and the untimely March 2013 decision by some producers to withhold selling prior to the last Kenya general election resulted in very large unsold stocks being available to buyers. These factors have contributed to a depressingly weak market. By and large much of the surplus stock still remains unsold and in favour of buyers with prices tumbling week after week. Why buy this week when it will be cheaper next week is an old adage. Until and unless there is an adjustment on either the supply or the demand side we can expect weak prices for the foreseeable future. The Mombasa auction average price at end of March 2014 was the lowest for the past 6 years with many prices being below the cost of production. We have been able to mitigate against some of these losses by our ability to negotiate longer term contracts with our long established customers and our abilities to provide reliable teas shipped to destinations at the correct time. However markets remain extremely weak as I write and buyers from all parts of the globe operate off tight stock levels and will be in no rush to increase their buying whilst stock levels and crops remain high.

Our customer base remains strong and the Company policy of selling to secure markets with few credit risks ensures that not only does your Company receive payment for their teas but also the thousands of smallholders who now rely upon us. Our investment in Rainforest Alliance and UTZ accreditation has been supported by all our smallholders being accredited, and it remains true that a healthy percentage of our sales are as a direct result of investing in and adhering to good practice and the accreditation that follows this.

We are continuing to invest in plant and machinery, in our factory as well as the field outlined above. However, with costs increasing across many areas, our ability to adequately invest, when paying high prices for green leaf and faced with declining markets, are restricted.

Finding a way to satisfy you, the shareholder, our Smallholders and having sufficient funds to expand capacities is a clear goal, but one that carries many challenges. However, if we succeed in this aim the beneficiaries will be our smallholders and our customers as well as your Company, and ultimately the shareholder.

Market Outlook

We were all delighted to witness the mature politics and good sense during a very difficult political year. The constitutional challenges of devolution are upon us and we seek to work in partnership with our County assembly and county governor. National instability and threats of terrorism and acts of violence have made the environment very unstable. We manage as best we can but it has not been a good year.

Our ability to make good tea, deliver the tea on time anywhere in the world, supported by the foundations of transparency, through our commitment to International accreditation agencies, ethical policies, good governance and accountability will enable us to overcome potential future hurdles through our long term relationships with a range of customers. We envisage markets will continue to fall through the first six months of our year, indeed as we go to press that average prices have declined a further 10 US cents rather reinforcing our fears that we will have to be very prudent and cautious to see out the decline. If crop levels and existing stock levels decline as they traditionally should, the market may strengthen a little towards the end of the calendar year. As tea producers and smallholders face diminishing returns it is possible production levels will also decline, whatever the weather. The smallholder who was keen to plant more tea will be less keen now. The money available for essential inputs to boost crops will also fall. The seller/buyer relationships are sometimes complex, however it is a simple fact that if buyers wish to have tea available in a sustainable manner for years to come then the price of the tea must be above or better than the cost of production. If it is not, then market forces will encourage farmers to vote with their feet and ply their trade elsewhere.

KAPCHORUA TEA COMPANY LIMITED

CHAIRMAN'S STATEMENT (Continued)

Market Outlook (Continued)

Further industrial action from Union leaders can never be ruled out, however we trust our commitment to dialogue, fairness and good practice will assist in overcoming difficult issues. A new CBA should have been negotiated but is still some way short of a conclusion. We all wish to pay people more, however the ability to pay is entirely dependent on natural and market forces.

General Outlook

The cost of our essential inputs, particularly electricity, fertilizers and our own workforce, continue to rise. We have continued with our best efforts to remain competitive we need to work hard to control our costs whilst maintaining the quality of tea and service efficiency that provide the results we all wish to see.

The cost of conducting business in Kenya continues to rise. In addition to the cost increases outlined we wait to see the impact of tax rise proposals by new County Governments, and the new Agricultural and Fisheries Board. As I wrote earlier, we trust and are confident that prudence and good governance and sense will prevail. We continue to lobby through the good offices of the East African Tea Trade Association against the Ad Valorem tax on the value of tea sold introduced by the Tea Board of Kenya, in February 2012. We have, through our membership of the KTGA strengthened our capacity with the appointment of a new Executive Officer. The increasing demands on tea farmers from all quarters is a considerable drain on management time and this appointment will greatly assist our political and lobbying work.

Although the arrival of the new Constitution was welcomed in August 2010, it is nearly 4 years old now and we still await confirmation on the outcome of our Freehold titles and 999 year leases. The legal advice remains that with effect from 28th August 2010 all our land titles were converted into 99 year leases without compensation. However we await government confirmation on the commencement dates for these new leases and guidelines on their renewal.

Dividends

In view of the results, the Directors are recommending a final Dividend payment of Sh 5 per share.

Crop / Market Price

During the year, the Company manufactured a total of 5.68 million kilos of Made Tea compared to 6.2 million kilos manufactured last year with continued strong support from our small tea growers.

The gross average tea price declined to Sh 213.37 per kilo from last year's gross average of Sh 233.14. Exchange rates were erratic.

Corporate Social Responsibility

The Company continues to embrace social enhancing ethics, food safety standards and sustainable agricultural practices. The Company is still certified by ISO 2200:2005, Rainforest Alliance and UTZ.

The various farm activities covered in the year are detailed in our website, <http://williamson-tea.blogspot.co.uk/>. The activities include building school classrooms, bursaries, and providing surrounding communities with water.

KAPCHORUA TEA COMPANY LIMITED

CHAIRMAN'S STATEMENT (Continued)

Health and Education

The Company continues to provide extensive medical services and actively participates in the Nandi Hills Doctors' scheme including visiting Doctor Services and HIV/AIDS prevention programmes. Contribution has also been given in the form of equipment to neighbouring Hospitals which treat some of our Workers and the surrounding Communities.

Through the Kenya Tea Growers Association, the Company continues to support the running and development of various sponsored Primary and Secondary Schools in Nandi. We continue to operate a Primary School together with bursary schemes for gifted students proceeding to Secondary education.

Welfare

The number of permanent and seasonal employees exceeded 925 with over 4,625 of their dependents who also benefit from the social and welfare amenities provided.

During the year, the Company spent over KShs 33 million on employees' pension, gratuities, leave and medical expenses over and above employees' direct wages. In addition, the Group incurred in excess of KShs 5 million on capital projects relating to employees welfare.

Appreciation

During the year Mr John Kosgei retired after 36 years with the Williamson Tea Group as a whole. We will miss John but he goes with our very best wishes for a long, peaceful and happy retirement with his family. Change provides opportunity and Mr Ronald Ngala is now the Acting general manager. We wish Ronald and all his team very well in their new responsibilities.

I would like to thank the entire management team headed by the Managing Director Mr Alan Carmichael and Mr Samuel Thumbi, our Visiting Agent. My thanks also go to our Nairobi Head Office staff.

Last but not least, I would like to thank my fellow Directors for their valuable contribution and advice.



E N K WANJAMA

CHAIRMAN

5th June

2014

KAPCHORUA TEA COMPANY LIMITED

CORPORATE GOVERNANCE STATEMENT

Corporate Governance is the process and structure used to direct and manage the business affairs of the company towards enhancing prosperity and corporate accounting with the ultimate objective of realizing shareholders long-term value while taking into account the interest of other stakeholders.

The company is compliant in all arrears of the corporate governance guidelines save for the fact that, the audit committee being composed of only two independent directors. The desirability of increasing the number of audit committee is still under consideration.

Board of Directors

The Board as at 31 March 2014 consisted of seven directors, five of whom were non-executive directors including the Chairman. Among the non-executive directors three are independent directors. All the non-executive directors are subject to retirement by rotation and must seek re-election by shareholders at least once every three years in accordance with the Articles of Association.

The composition of the Board is set with the aim of having a Board with an appropriate balance of skills and experience to support the company's strategy and to lead the company effectively.

There's a clear division of responsibility between the Chairman and the Managing Director. The Chairman is responsible for the leadership of the Board ensuring its effectiveness; and he sees that they are given appropriate and timely information to enable them to properly discharge their responsibilities. He also ensures effective communication with shareholders and facilitates relations between the different Board members. The Managing Director is responsible for the day-to-day management of the company and the execution of the strategy agreed by the Board.

The Board is responsible for formulating policies and strategies and ensuring that the business objectives aimed at promoting and protecting shareholder value while taking into account the interest of other stakeholders are achieved. The Board ensures that procedures and practices are set in place to ensure effective control over strategic, financial, operational and compliance issues. The Board meets to review annual budget and half-year and annual accounts and to monitor operational performance. The directors are given appropriate and timely information to enable them maintain full and effective control. Except for direction and guidance on general policy, the Board has delegated its authority for conduct of the day-to-day business to the Managing Director assisted by a team of able managerial staff.

The full Board meets at least once every quarter for scheduled meetings and on other occasions as required for consideration of exceptional matters. A timetable of calendar dates for Board meetings to be held during the year is circulated in advance to the Board. The notice of Board meetings is distributed together with the agenda and Board papers to all directors beforehand.

The company secretary is always available to the Board of directors and is a member of both the Institute of Certified Public Accountants of Kenya (ICPAK) and Institute of Certified Public Secretaries of Kenya (ICPSK). The Head of Finance is also a member of the Institute of Certified Public Accountants (ICPAK).

Board remuneration

Non-executive directors are paid an annual fee together with a sitting allowance for every meeting attended. The aggregate amount of emoluments paid to directors for services rendered during the financial year are disclosed in note 4 to the financial statements.

Directors' shareholding

None of the Directors as at the end of the year March 2014 held shares in their individual capacity that were more than 2% of the company's total equity. The directors' interest in the shares of the company as at 31 March 2014 is summarised below:

Name	Number of Shares
J P Brooks	4,500

KAPCHORUA TEA COMPANY LIMITED

CORPORATE GOVERNANCE STATEMENT (Continued)

COMMITTEES OF THE BOARD

The Board has three standing committees, which meet under the terms of reference set by the Board.

Governance and Audit committee

The governance and audit committee consists of independent non-executive directors. This committee's responsibilities are discharged through the parent company's governance and audit committee. This committee meets regularly ahead of scheduled full Board meeting dates, and as appropriate on other occasions. It reviews corporate governance compliance issues, and its implementation; risk management; internal control; and external auditors' plan and reports.

Nominating committee

The Board of the company has a nominating committee consisting of three directors. This committee is responsible for proposing new nominees for the Board and for assessing the performance and effectiveness of all the directors.

Staff and remuneration committee

There is a staff and remuneration committee consisting of three directors. The committee is responsible for the remuneration and incentives for the Board and the senior management and for the structure of remuneration packages and submits its recommendations to the Board.

INTERNAL CONTROLS

The Board is responsible for the company's system of internal controls and for reviewing their effectiveness. The company has defined procedures and financial controls to ensure the reporting of complete and accurate accounting information.

The systems in place are designed to ensure that authority is obtained for any major transaction and that the company complies with all Kenyan laws and regulations, including those that govern sound financial management. Procedures are in place to ensure that all assets are subject to proper physical controls and these are professionally revalued every three years.

The company's internal auditor reviews policy, systems and procedures on a regular basis and reports to the Managing Director and the governance and audit committee.

Communication with shareholders

The company is committed to ensuring that there is open and good communication with shareholders through the Annual General Meeting, distribution of the company's annual report and the release of notices of its half yearly and annual results to the press.

SHAREHOLDING PROFILES

The company, through its Registrar, files returns regularly in line with the Capital Markets Authority and the Nairobi Securities Exchange under the listing regulations on transactions related to shareholders.

KAPCHORUA TEA COMPANY LIMITED

CORPORATE GOVERNANCE STATEMENT (Continued)

Major shareholders

As at 31 March 2014, the top 10 shareholders were as follows:

	Name	Location	No of shares	%
1	Williamson Tea Kenya Limited	Nairobi	1,547,780	39.56
2	Ngong Tea Holdings Limited	London	937,264	23.96
3	Shawmut Limited	Nairobi	489,000	12.50
4	Satchu Aly-Khan	Nairobi	63,600	1.63
5	Eric Charles Simons	London	60,000	1.53
6	Chetan Mulchand Narshi Shah	Nairobi	48,024	1.23
7	Mr. Mitesh M Shah	Nairobi	42,524	1.09
8	Mr. Ronald Carlile Buxton	London	33,750	0.86
9	Bijal Mulchand Shah	Nairobi	32,016	0.82
10	Hassan Popat	Nairobi	25,000	0.64

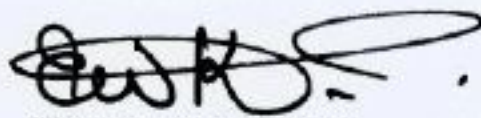
Analysis of shareholders

By region:

	Number	Shares held	%
Foreign shareholders	14	1,063,714	27.19
Local shareholders (Individuals)	320	705,841	18.04
Local shareholders (Institutional)	37	2,142,445	54.77
	<u>371</u>	<u>3,912,000</u>	<u>100.00</u>

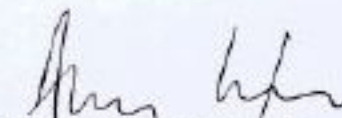
By shares distribution:

Less Than 501	197	39,766	0.90
501 To 10,000	152	416,378	10.48
10001 To 100,000	19	481,812	12.60
Above 100,000	3	2,974,044	76.02
	<u>371</u>	<u>3,912,000</u>	<u>100.00</u>



Director

5th June 2014



Director

5th June 2014

KAPCHORUA TEA COMPANY LIMITED

REPORT OF THE DIRECTORS

The directors present their report together with the audited financial statements of Kapchorua Tea Company Limited ("the company") for the year ended 31 March 2014, which show the state of affairs of the company.

ACTIVITIES

The principal activities of the company are the cultivation, manufacture and sale of tea.

RESULTS FOR THE YEAR

	2014 Sh'000	2013 Sh'000
Profit before taxation	182,079	255,753
Taxation charge	(56,088)	(76,035)
Profit for the year transferred to revenue reserves	<u>125,991</u>	<u>179,718</u>

DIVIDENDS

The directors recommend that a first and final dividend of Sh 5 per share (2013 – Sh 7.50), totalling Sh 19,560,000 (2013 – Sh 29,340,000) be paid to owners of the company. The final dividend is subject to approval by the owners of the company at the next Annual General Meeting.

TEA CROP

The following are comparative tea production statistics:

Year ended 31 March	Kapchorua estate Kgs'000	Bought leaf Kgs'000	Total Kgs'000
2014	2,259	3,444	5,703
2013	2,288	3,915	6,203
2012	2,109	3,758	5,867
2011	2,131	3,891	6,022
2010	2,032	4,027	6,059
2009	1,666	3,544	5,210
2008	1,361	2,738	4,099
2007	1,929	3,077	5,006
2006	1,589	2,262	3,851
2005	1,762	2,718	4,480
2004	1,648	1,888	3,536
2003	1,765	1,641	3,406

The estimated tea production for the year to 31 March 2015 is 5,495,000 kilograms. This includes 3,668,000 kilograms from out growers.

PLANTED AREA

The planted area under tea was as follows:

	As at 31 March 2014 Hectares	As at 31 March 2013 Hectares
Mature	621.00	631.00
Immature	7.00	2.00
	<u>628.00</u>	<u>633.00</u>

KAPCHORUA TEA COMPANY LIMITED

REPORT OF THE DIRECTORS (Continued)

DIRECTORS

The current board of directors is shown on page 3.

Mr A S Marsh resigned from the Board of Directors on 5 June 2014.

SECRETARY

Gilbert K Masaki continues as the company secretary.

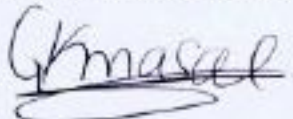
MANAGEMENT

Mr Ronald Ngala is the General Manager of the Kapchorua Farm.

AUDITORS

Deloitte & Touche, having expressed their willingness, continue in office in accordance with section 159 (2) of the Kenyan Companies Act.

BY ORDER OF THE BOARD



Secretary

5th June, 2014
Nairobi

KAPCHORUA TEA COMPANY LIMITED

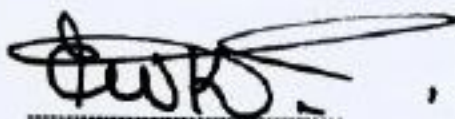
STATEMENT OF DIRECTORS' RESPONSIBILITIES

The Kenyan Companies Act requires the directors to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the company as at the end of the financial year and of its operating results for that year. It also requires the directors to ensure that the company keeps proper accounting records which disclose with reasonable accuracy at any time the financial position of the company. They are also responsible for safeguarding the assets of the company.

The directors are responsible for the preparation of financial statements that give a true and fair view in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act, and for such internal controls as the directors determine are necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

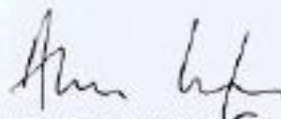
The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the company and of its operating results. The directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the directors to indicate that the company will not remain a going concern for at least the next twelve months from the date of this statement.



Director

5th June 2014



Director

5th June 2014

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF KAPCHORUA TEA COMPANY LIMITED

Report on the Financial Statements

We have audited the accompanying financial statements of Kapchorua Tea Company Limited, set out on pages 17 to 50, which comprise the statement of financial position as at 31 March 2014, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, together with the summary of significant accounting policies and other explanatory notes.

Directors' Responsibility for the Financial Statements

The directors are responsible for the preparation of financial statements that give a true and fair view in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act, and for such internal controls as the directors determine are necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we considered the internal controls relevant to the company's preparation of financial statements that give a true and fair view in order to design audit procedures that were appropriate in the circumstances, but not for the purpose of expressing an opinion on the company's internal controls. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements give a true and fair view of the state of financial affairs of the company as at 31 March 2014 and of its profit and cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act.

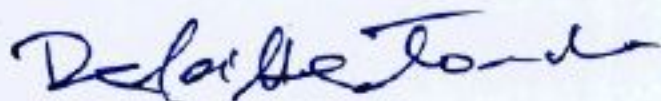
INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF
KAPCHORUA TEA COMPANY LIMITED (Continued)

Report on Other Legal Requirements

As required by the Kenyan Companies Act we report to you, based on our audit, that:

- (i) we have obtained all the information and explanations, which to the best of our knowledge and belief, were necessary for the purposes of our audit;
- (ii) in our opinion, proper books of account have been kept by the company, so far as appears from our examination of those books; and
- (iii) the company's statement of financial position (balance sheet) and statement of profit or loss and other comprehensive income (profit and loss account) are in agreement with the books of account.

The engagement partner responsible for the audit resulting in this independent auditor's report is Fredrick Okwet - P/No P/1699.



Certified Public Accountants (Kenya)
Nairobi, Kenya

5th June 2014

KAPCHORUA TEA COMPANY LIMITED

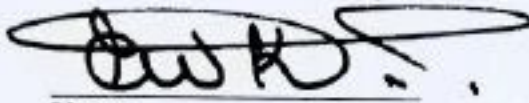
STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
FOR THE YEAR ENDED 31 MARCH 2014

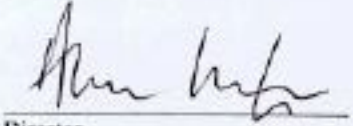
	Note	2014 Sh'000	2013 Sh'000
TURNOVER	3	1,192,489	1,353,206
GAIN ARISING FROM CHANGES IN FAIR VALUE OF BIOLOGICAL ASSETS			
- TEA BUSHES	14	84,031	79,587
- TIMBER	14	19,538	13,970
OPERATING INCOME		1,296,058	1,446,763
COST OF SALES		(982,880)	(1,085,819)
GROSS PROFIT		313,178	360,944
OTHER INCOME		7,502	3,903
INTEREST INCOME	6(a)	5,161	13,092
FINANCE COSTS	6(b)	(863)	(290)
LOSSES ARISING FROM CHANGES IN FAIR VALUE OF OTHER BIOLOGICAL ASSETS			
- FIREWOOD	14	(33,758)	(11,749)
DISTRIBUTION COSTS		(105,007)	(109,300)
ADMINISTRATIVE EXPENSES		(5,578)	(4,266)
NET FOREIGN EXCHANGE GAINS		1,444	3,419
PROFIT BEFORE TAXATION	4	182,079	255,753
TAXATION CHARGE	7(a)	(56,088)	(76,035)
PROFIT FOR THE YEAR		125,991	179,718
OTHER COMPREHENSIVE INCOME		-	-
TOTAL COMPREHENSIVE INCOME FOR THE YEAR		125,991	179,718
COMPRISING:			
PROFIT ARISING FROM OPERATING ACTIVITIES		77,123	122,452
GAIN ARISING FROM CHANGES IN FAIR VALUE OF BIOLOGICAL ASSETS (NET OF ATTRIBUTABLE TAXATION)		48,868	57,266
PROFIT AND TOTAL COMPREHENSIVE INCOME FOR THE YEAR		125,991	179,718
EARNINGS PER SHARE - basic and diluted (Sh)	8	32.21	45.94

KAPCHORUA TEA COMPANY LIMITED
STATEMENT OF FINANCIAL POSITION
AS AT 31 MARCH 2014

	Note	2014 Sh'000	2013 Sh'000
ASSETS			
Non-current assets			
Property, plant and equipment	10	396,142	418,509
Prepaid operating leases	11	21,669	21,693
Intangible assets	12	47	255
Unquoted investments	13	717	717
Biological assets	14	888,966	813,964
		<u>1,307,541</u>	<u>1,255,138</u>
Current assets			
Inventories	15	194,936	193,376
Trade and other receivables	16	263,775	314,439
Due from related companies	17	10,340	4,750
Corporate tax recoverable	7(c)	17,911	-
Short term deposits	18	-	181,788
Cash and bank balances	23	134,658	128,984
		<u>621,620</u>	<u>823,337</u>
Total assets		<u>1,929,161</u>	<u>2,078,475</u>
EQUITY AND LIABILITIES			
Capital and reserves			
Share capital	19	19,560	19,560
Revaluation surplus		150,903	168,443
Retained earnings		1,210,202	1,096,010
Shareholders' funds		<u>1,380,665</u>	<u>1,284,013</u>
Non current liabilities			
Deferred taxation	20	330,250	318,739
Provision for employee entitlements	21	96,391	86,738
		<u>426,641</u>	<u>405,477</u>
Current liabilities			
Trade and other payables	22	106,293	284,360
Corporate tax payable	7(c)	-	13,654
Due to related companies	17	14,744	90,344
Unclaimed dividends	9(b)	818	627
		<u>121,855</u>	<u>388,985</u>
Total equity and liabilities		<u>1,929,161</u>	<u>2,078,475</u>

The financial statements on pages 17 to 50 were approved and authorised for issue by the board of directors on 5th June 2014 and were signed on its behalf by:


Director


Director
5th June 2014

KAPCHORUA TEA COMPANY LIMITED
STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 MARCH 2014

	Note	Share capital Sh'000	Revaluation surplus Sh'000	Biological assets Sh'000	Other Sh'000	Total Sh'000
At 1 April 2012		19,560	188,357	398,585	527,133	925,718
Profit and total comprehensive income for the year		-	-	57,266	122,452	179,718
Transfer of excess depreciation		-	(28,449)	-	28,449	-
Deferred tax on excess depreciation		-	8,535	-	(8,535)	-
Dividend declared - 2012	9(b)	-	-	-	(29,340)	(29,340)
At 31 March 2013		19,560	168,443	455,851	640,159	1,284,013
At 1 April 2013		19,560	168,443	455,851	640,159	1,284,013
Profit and total comprehensive income for the year		-	-	48,868	77,123	125,991
Transfer of excess depreciation		-	(25,058)	-	25,058	-
Deferred tax on excess depreciation		-	7,518	-	(7,518)	-
Dividend declared - 2013	9(b)	-	-	-	(29,339)	(29,339)
At 31 March 2014		19,560	150,903	504,719	705,483	1,380,665

The revaluation surplus arose on revaluation of property, plant and equipment and is not distributable.

The retained earnings on biological assets represent surplus arising from fair valuation of biological assets in line with IAS 41 on Agriculture and are not distributable.

Other retained earnings represent accumulated profits arising from normal operating activities, and are distributable.

KAPCHORUA TEA COMPANY LIMITED

STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 31 MARCH 2014

	Note	2014 Sh'000	2013 Sh'000
CASH FLOWS FROM OPERATING ACTIVITIES			
Cash (used in)/generated from operations	23(a)	(28,706)	207,584
Interest paid	6 (b)	(863)	(290)
Interest received	6 (a)	5,161	13,092
Taxation paid	7(c)	(76,142)	(37,530)
Net cash (used in)/generated from operating activities		(100,550)	182,856
CASH FLOWS FROM INVESTING ACTIVITIES			
Purchase of property, plant and equipment	10	(47,057)	(31,741)
Proceeds from disposal of property, plant and equipment		4,461	2,026
Dividends received		352	3
Net expenditure on biological assets	14	(4,172)	(3,706)
Net cash used in investing activities		(46,416)	(33,418)
CASH FLOWS FROM FINANCING ACTIVITIES			
Dividends paid	9(b)	(29,148)	(29,387)
(DECREASE)INCREASE IN CASH AND CASH EQUIVALENTS		(176,114)	120,051
CASH AND CASH EQUIVALENTS AT START OF THE YEAR		310,772	190,721
CASH AND CASH EQUIVALENTS AT END OF THE YEAR	23(b)	<u>134,658</u>	<u>310,772</u>

KAPCHORUA TEA COMPANY LIMITED

NOTES TO THE FINANCIAL STATEMENTS

1 ACCOUNTING POLICIES

Statement of compliance

The financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS).

For the Kenyan companies Act reporting purposes, in these financial statements the balance sheet is represented by/is equivalent to the statement of financial position and the profit and loss account is presented in the statement of comprehensive income.

(a) Application of new and revised International Financial Reporting Standards (IFRSs)

(i) *Relevant new standards and amendments to published standards effective for the year ended 31 March 2014*

The following new and revised IFRSs were effective in the current year and had no material impact on the amounts reported in these financial statements.

Amendments to IFRS 7 Disclosures - Offsetting Financial Assets and Financial Liabilities

The amendments to IFRS 7 require entities to disclose information about rights of offset and related arrangements (such as collateral posting requirements) for financial instruments under an enforceable master netting agreement or similar arrangement.

The application of the amendment had no effect on the company's financial statements as the company did not have any such offsetting arrangements in place.

New and revised standards on consolidation and joint arrangements, associates and disclosures

In May 2011, a package of five standards on consolidation and joint arrangements, associates and disclosures was issued comprising IFRS 10 Consolidated Financial Statements, IFRS 11 Joint Arrangements, IFRS 12 Disclosure of Interests in Other Entities, IAS 27 (as revised in 2011) Separate Financial Statements and IAS 28 (as revised in 2011) Investments in Associates and Joint Ventures. Subsequent to the issue of these standards amendment to IFRS 10, IFRS 11 and IFRS 12 were issued to clarify certain guidance on first application of the standards.

The application of the amendments had not effect on impact on the disclosures or the amounts recognised in these financial statements as the company had no such arrangements in place.

IFRS 13 Fair Value Measurement

The scope of IFRS 13 is broad; the fair value measurement requirements of IFRS 13 apply to both financial instrument items and non-financial instrument items for which other IFRSs require or permit fair value measurements and disclosures about fair value measurements, except for share-based payment transactions that are within the scope of IFRS 2 Share-based Payment, leasing transactions that are within the scope of IAS 17 Leases, and measurements that have some similarities to fair value but are not fair value (e.g. net realisable value for the purposes of measuring inventories or value in use for impairment assessment purposes).

IFRS 13 defines fair value as the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction in the principal (or most advantageous) market at the measurement date under current market conditions. Fair value under IFRS 13 is an exit price regardless of whether that price is directly observable or estimated using another valuation technique. Also, IFRS 13 includes extensive disclosure requirements.

KAPCHORUA TEA COMPANY LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

1 ACCOUNTING POLICIES (Continued)

(a) Application of new and revised International Financial Reporting Standards (IFRSs) (Continued)

(i) *Relevant new standards and amendments to published standards effective for the year ended 31 March 2014 (Continued)*

IFRS 13 Fair Value Measurement (Continued)

IFRS 13 requires prospective application from 1 January 2013. In addition, specific transitional provisions were given to entities such that they need not apply the disclosure requirements set out in the Standard in comparative information provided for periods before the initial application of the Standard. In accordance with these transitional provisions, the company has not made any new disclosures required by IFRS 13 for the 2012 comparative period.

The application of IFRS 13 has not had any material impact on the amounts recognised in the financial statements.

Amendments to IAS 1 Presentation of Items of Other Comprehensive Income

The amendments introduce new terminology, whose use is not mandatory, for the statement of comprehensive income and income statement. Under the amendments to IAS 1, the 'statement of comprehensive income' is renamed as the 'statement of profit or loss and other comprehensive income' (and the 'income statement' is renamed as the 'statement of profit or loss'). The amendments to IAS 1 retain the option to present profit or loss and other comprehensive income in either a single statement or in two separate but consecutive statements.

However, the amendments to IAS 1 require items of other comprehensive income to be grouped into two categories in the other comprehensive income section: (a) items that will not be reclassified subsequently to profit or loss and (b) items that may be reclassified subsequently to profit or loss when specific conditions are met. Income tax on items of other comprehensive income is required to be allocated on the same basis - the amendments do not change the option to present items of other comprehensive income either before tax or net of tax. The new terminologies have been adopted in these financial statements.

The application of the amendment had no effect on the company's financial statements as the company did not transfer any such financial assets during the year.

Amendments to IAS 1 Presentation of Financial Statements (as part of the Annual Improvements to IFRSs 2009 - 2011 Cycle issued in May 2012)

The Annual Improvements to IFRSs 2009 - 2011 have made a number of amendments to IFRSs. The amendments that are relevant to the company are the amendments to IAS 1 regarding when a statement of financial position as at the beginning of the preceding period (third statement of financial position) and the related notes are required to be presented. The amendments specify that a third statement of financial position is required when a) an entity applies an accounting policy retrospectively, or makes a retrospective restatement or reclassification of items in its financial statements, and b) the retrospective application, restatement or reclassification has a material effect on the information in the third statement of financial position. The amendments specify that related notes are not required to accompany the third statement of financial position.

The application of the amendment had no effect on the company's financial statements as the company did not restate its financial statements.

KAPCHORUA TEA COMPANY LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

2 ACCOUNTING POLICIES (Continued)

(b) Application of new and revised International Financial Reporting Standards (IFRSs) (Continued)

(i) Relevant new standards and amendments to published standards effective for the year ended 31 March 2014 (Continued)

IAS 19 Employee Benefits (as revised in 2011)

IAS 19 (as revised in 2011) changes the accounting for defined benefit plans and termination benefits. The most significant change relates to the accounting for changes in defined benefit obligations and plan assets. The amendments require the recognition of changes in defined benefit obligations and in the fair value of plan assets when they occur, and hence eliminate the 'corridor approach' permitted under the previous version of IAS 19 and accelerate the recognition of past service costs. All actuarial gains and losses are recognised immediately through other comprehensive income in order for the net pension asset or liability recognised in the consolidated statement of financial position to reflect the full value of the plan deficit or surplus. Furthermore, the interest cost and expected return on plan assets used in the previous version of IAS 19 are replaced with a 'net interest' amount under IAS 19 (as revised in 2011), which is calculated by applying the discount rate to the net defined benefit liability or asset.

The amendments had no effect on the company's financial statements as the company did not operate a defined benefits plan.

(ii) New and amended standards and interpretations in issue but not yet effective in the year ended 31 March 2014

New and Amendments to standards	Effective for annual periods beginning on or after
IFRS 9	1 January 2018
Amendments to IFRS 9 and IFRS 7	1 January 2015
Amendments to IFRS 10, IFRS 12 and IAS 27	1 January 2014
Amendments to IAS 32	1 January 2014
Amendments to IAS 36	1 January 2014
Amendments to IAS 39	1 January 2014

(c) Application of new and revised International Financial Reporting Standards (IFRSs) and Interpretations (IFRIC)

(iii) Relevant new and revised IFRSs in issue but not yet effective for the year ended 31 March 2014

• IFRS 9, Financial Instruments

IFRS 9, issued in November 2009, introduced new requirements for the classification and measurement of financial assets. IFRS 9 was amended in October 2011 to include requirements for the classification and measurement of financial liabilities and for derecognition.

Key requirements of IFRS 9:

- All recognised financial assets that are within the scope of IAS 39 Financial Instruments: Recognition and Measurement to be subsequently measured at amortised cost or fair value. Specifically, debt investments that are held within a business model whose objective is to collect the contractual cash flows, and that have contractual cash flows that are solely payments of principal and interest on the principal outstanding are generally measured at amortised cost at the end of subsequent accounting periods. All other debt investments and equity investments are measured at their fair value at the end of subsequent accounting periods. In addition, under IFRS 9, entities may make an irrevocable election to present subsequent changes in the fair value of an equity investment (that is not held for trading) in other comprehensive income, with only dividend income generally recognised in profit or loss.

KAPCHORUA TEA COMPANY LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

1 ACCOUNTING POLICIES (Continued)

(c) Application of new and revised International Financial Reporting Standards (IFRSs) and Interpretations (IFRIC) (Continued)

(iii) Relevant new and revised IFRSs in issue but not yet effective for the year ended 31 March 2014 (Continued)

• IFRS 9, Financial Instruments (Continued)

With regard to the measurement of financial liabilities designated as at fair value through profit or loss, IFRS 9 requires that the amount of change in the fair value of the financial liability, that is attributable to changes in the credit risk of that liability, is presented in other comprehensive income, unless the recognition of the effects of changes in the liability's credit risk in other comprehensive income would create or enlarge an accounting mismatch in profit or loss. Changes in fair value attributable to a financial liability's credit risk are not subsequently reclassified to profit or loss. Previously, under IAS 39, the entire amount of the change in the fair value of the financial liability designated as fair value through profit or loss was presented in profit or loss.

The directors anticipate that IFRS 9 will be adopted in the Company's financial statements for the annual period beginning 1 January 2018 and that the application of IFRS 9 may not have a significant impact on amounts reported in respect of the company's financial assets and financial liabilities. However, it is not practicable to provide a reasonable estimate of that effect until a detailed review is done.

• Amendments to IFRS 10, IFRS 12 and IAS 27 Investment Entities

The amendments to IFRS 10 define an investment entity and require a reporting entity that meets the definition of an investment entity not to consolidate its subsidiaries but instead to measure its subsidiaries at fair value through profit or loss in its consolidated and separate financial statements. To qualify as an investment entity, a reporting entity is required to:

- Obtain funds from one or more investors for the purpose of providing them with professional investment management services.
- Commit to its investor(s) that its business purpose is to invest funds solely for returns from capital appreciation, investment income, or both.
- Measure and evaluate performance of substantially all of its investments on a fair value basis.

Consequential amendments have been made to IFRS 12 and IAS 27 to introduce new disclosure requirements for investment entities. The directors of the company do not anticipate that the investment entities amendments will have any effect on the company's financial statements as the Company is not an investment entity.

IFRS 14, Regulatory Deferral Accounts

IFRS 14 permits an entity which is a first-time adopter of International Financial Reporting Standards to continue to account, with some limited changes, for 'regulatory deferral account balances' in accordance with its previous GAAP, both on initial adoption of IFRS and in subsequent financial statements.

Note: Entities which are eligible to apply IFRS 14 are not required to do so, and so can choose to apply only the requirements of IFRS 1 First-time Adoption of International Financial Reporting Standards when first applying IFRSs. However, an entity that elects to apply IFRS 14 in its first IFRS financial statements must continue to apply it in subsequent financial statements. IFRS 14 cannot be applied by entities that have already adopted IFRSs.

The directors of the company do not anticipate that the application of the standard will have a significant impact on the company's financial statements.

KAPCHORUA TEA COMPANY LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

1 ACCOUNTING POLICIES (Continued)

(c) Application of new and revised International Financial Reporting Standards (IFRSs) and Interpretations (IFRIC)

(iii) *Relevant new and revised IFRSs in issue but not yet effective for the year ended 31 March 2014 (Continued)*

IFRS 15, Revenue from Contracts with Customers

IFRS 15 provides a single, principles based five-step model to be applied to all contracts with customers.

The five steps in the model are as follows:

- Identify the contract with the customer
- Identify the performance obligations in the contract
- Determine the transaction price
- Allocate the transaction price to the performance obligations in the contracts
- Recognise revenue when (or as) the entity satisfies a performance obligation.

Guidance is provided on topics such as the point in which revenue is recognised, accounting for variable consideration, costs of fulfilling and obtaining a contract and various related matters. New disclosures about revenue are also introduced.

The directors of the company do not anticipate that the application of the standard will have a significant impact on the company's financial statements.

• **Amendments to IAS 32 Offsetting Financial Assets and Financial Liabilities**

The amendments to IAS 32 clarify the requirements relating to the offset of financial assets and financial liabilities. Specifically, the amendments clarify the meaning of 'currently has a legally enforceable right of set-off' and 'simultaneous realisation and settlement'.

The directors of the Company do not anticipate that the application of these amendments to IAS 32 will have a significant impact on the Company's financial statements as the Company does not have any significant financial assets and financial liabilities that qualify for the offset.

• **Recoverable Amount Disclosures for Non-Financial Assets (Amendments to IAS 36)**

Amends IAS 36 Impairment of Assets to reduce the circumstances in which the recoverable amount of assets or cash-generating units is required to be disclosed, clarify the disclosures required, and to introduce an explicit requirement to disclose the discount rate used in determining impairment (or reversals) where recoverable amount (based on fair value less costs of disposal) is determined using a present value technique.

The directors of the company do not anticipate that the application of these amendments to IAS 36 will have a significant impact on the company's financial statements as the company does not have any significant financial assets and financial liabilities that qualify for the offset.

• **Novation of Derivatives and Continuation of Hedge Accounting (Amendments to IAS 39)**

Amends IAS 39 Financial Instruments: Recognition and Measurement to make it clear that there is no need to discontinue hedge accounting if a hedging derivative is novated, provided certain criteria are met. A novation indicates an event where the original parties to a derivative agree that one or more clearing counterparties replace their original counterparty to become the new counterparty to each of the parties. In order to apply the amendments and continue hedge accounting, novation to a central counterparty (CCP) must happen as a consequence of laws or regulations or the introduction of laws or regulations.

The directors of the company do not anticipate that the application of these amendments to IAS 39 will have a significant impact on the company's financial statements.

KAPCHORUA TEA COMPANY LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

1 ACCOUNTING POLICIES (Continued)

(c) Application of new and revised International Financial Reporting Standards (IFRSs) and Interpretations (IFRIC)

(iii) *Relevant new and revised IFRSs in issue but not yet effective for the year ended 31 March 2014 (Continued)*

• *Annual Improvements 2010-2012 Cycle*

The annual improvements 2010-2012 cycle makes amendments to the following standards:

- IFRS 2 — Amends the definitions of 'vesting condition' and 'market condition' and adds definitions for 'performance condition' and 'service condition'.
- IFRS 3 — Require contingent consideration that is classified as an asset or a liability to be measured at fair value at each reporting date.
- IFRS 8 — Requires disclosure of the judgements made by management in applying the aggregation criteria to operating segments, clarify reconciliations of segment assets only required if segment assets are reported regularly.
- IFRS 13 — Clarify that issuing IFRS 13 and amending IFRS 9 and IAS 39 did not remove the ability to measure certain short-term receivables and payables on an undiscounted basis (amends basis for conclusions only).
- IAS 16 and IAS 38 — Clarify that the gross amount of property, plant and equipment is adjusted in a manner consistent with a revaluation of the carrying amount.
- IAS 24 — Clarify how payments to entities providing management services are to be disclosed.

Annual Improvements 2011-2013 Cycle

Makes amendments to the following standards:

- IFRS 1 — Clarify which versions of IFRSs can be used on initial adoption (amends basis for conclusions only).
- IFRS 3 — Clarify that IFRS 3 excludes from its scope the accounting for the formation of a joint arrangement in the financial statements of the joint arrangement itself.
- IFRS 13 — Clarify the scope of the portfolio exception in paragraph 52.
- IAS 40 — Clarifying the interrelationship of IFRS 3 and IAS 40 when classifying property as investment property or owner-occupied property.

These IFRS improvements are effective for accounting periods beginning on or after 1 January 2014. The directors of the company do not anticipate that the application of these improvements to IFRSs will have a significant impact on the company's financial statements.

vi) *Early adoption of relevant standards*

The company did not early-adopt any new or amended standards in the year.

Basis of preparation

The company prepares its financial statements on the historical cost basis of accounting as modified to include the revaluation of certain assets.

Revenue recognition

Sales are recognised upon despatch of products and are stated net of returns, discounts and value added tax.

Dividends receivable are recognised as income in the period in which the right to receive payment is established.

KAPCHORUA TEA COMPANY LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

1 ACCOUNTING POLICIES (Continued)

Revenue recognition (Continued)

Interest income is recognised when it is probable that the economic benefits will flow to the company and the amount of income can be measured reliably. Interest income is accrued on time basis, by reference to the principal outstanding and at the effective interest rate applicable, which is the rate that exactly discounts estimated future cash receipts through the expected life of the financial asset to that asset's net carrying amount on initial recognition.

Inventories

Made tea inventories are stated at the lower of cost and net realisable value. Cost comprises fair value of tea leaf less point of sale costs at the point of harvest and actual costs incurred at the factory in the processing of made tea from tea leaf. Net realisable value represents the estimated selling price less all estimated costs of completion and costs to be incurred in marketing, selling and distribution.

Firewood is stated at the lower of production cost and net realizable value.

Consumable stores inventories are stated at the lower of cost and net realisable value. Cost is determined by the weighted average method.

Biological assets

The biological assets (tea bushes, timber plantations and fuel plantations) and agricultural produce are stated at fair value less estimated point-of-sale costs.

The fair value of tea bushes is determined based on the present value of expected net cash flows discounted at a current market-determined pre-tax rate. The fair values of fuel and timber plantations are determined based on the prices existing in the market. Changes in fair value of biological assets are recognised through profit or loss.

The cost of replanting, infilling and upkeep are recognised as an expense in the profit or loss.

Immature tea bushes and immature trees, where cost approximate fair value, are valued at cost.

Property, plant and equipment

Property, plant and equipment are stated at cost or as professionally revalued less accumulated depreciation and any accumulated impairment losses.

Professional valuations are carried out in accordance with the company's policy of revaluing certain property, plant and equipment.

Any revaluation increase arising on the revaluation of the building and machinery is recognised in other comprehensive income and accumulated in revaluation reserves in equity, except to the extent that it reverses a revaluation decrease for the same asset previously recognised in profit or loss, in which case the increase is credited to profit or loss to the extent of the decrease previously expensed. A decrease in the carrying amount arising on the revaluation of such buildings and machinery is recognised in profit or loss to the extent that it exceeds the balance, if any, held in properties revaluation reserve relating to a previous revaluation of that asset.

The gain or loss arising on the disposal or retirement of property, plant and equipment is determined as the difference between sales proceeds and the carrying amount of the asset and is recognised in profit or loss.

Depreciation

Property, plant and equipment are depreciated on a straight line basis to write off the cost or valuation over their estimated useful lives.

The estimated useful lives, residual values and depreciation method are reviewed, at each year end, with effect of any changes in estimate accounted for on a prospective basis.

KAPCHORUA TEA COMPANY LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

1 ACCOUNTING POLICIES (Continued)

Depreciation (Continued)

Capital work in progress is not depreciated until the asset is brought into use.

The annual rates generally in use are:

Buildings	5%
Dams	2.5%
Machinery and equipment	10%
Tractors & accessories	10% - 25%
Motor vehicles	25%
Office equipment, furniture and fittings	10%
Computers	25%

Depreciation on revalued building and machinery is recognised in profit or loss. On subsequent sale or retirement of a revalued property, the attributable revaluation surplus remaining in the properties revaluation reserve is transferred directly to accumulated surplus.

Each year the difference between depreciation based on the revalued carrying amount of an asset (the depreciation charged through profit or loss) and depreciation based on the asset's original cost is transferred from the revaluation surplus to retained earnings.

Capital work in progress

Capital work in progress relates to property and plant under construction. Cost includes materials, direct labour and any other direct expenses incurred in respect of the project. The amounts are transferred to the appropriate property, plant and equipment categories once the project is completed and commissioned.

Intangible assets-computer software costs

Costs incurred on computer software are accounted for at cost less accumulated amortisation and any accumulated impairment losses. Amortisation is calculated on a straight line basis over the estimated useful lives not exceeding a period of 3 years.

Leases

Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the lessee. All other leases are classified as operating leases.

Rental income from operating leases is recognised on a straight line basis over the terms of the relevant leases.

Rentals payable under operating leases are charged through profit or loss on a straight-line basis over the term of the relevant lease.

Assets held under finance leases are recognised as assets of the company at their fair value at the date of acquisition or, if lower, at the present value of the minimum lease payments. The corresponding liability to the lessor is included in the statement of financial position as a finance lease obligation. Lease payments are apportioned between finance charges and reduction of the lease obligation so as to achieve a constant rate of interest on the remaining balance of the liability. Finance charges are charged directly against income.

Leasehold land

Payments to acquire leasehold interest in land are treated as prepaid operating lease rentals and amortised over the period of the lease. When a lease includes land and building elements, the company assesses the classification of each element as either a finance lease or an operating lease. In determining classification of the land element, an important consideration is that land normally has an indefinite economic life. Therefore the finance lease or operating lease classification of the land is considered a critical area of judgement. See note 2 to the financial statements.

KAPCHORUA TEA COMPANY LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

1 ACCOUNTING POLICIES (Continued)

Taxation

Income tax expense represents the sum of the tax currently payable and deferred tax.

(i) Current tax

The tax currently payable is based on taxable profit for the year. Taxable profit differs from profit as reported in the profit or loss because of items of income or expense that are taxable or deductible in other years and items that are never taxable or deductible. The company's liability for current tax is calculated using tax rates that have been enacted or substantively enacted by the end of the reporting period.

(ii) Deferred tax

Deferred tax is recognised on temporary differences between the carrying amounts of assets and liabilities in the financial statements and the corresponding tax bases used in the computation of taxable profit. Deferred tax liabilities are generally recognised for all taxable temporary differences. Deferred tax assets are generally recognised for all deductible temporary differences to the extent that it is probable that taxable profits will be available against which those deductible temporary differences can be utilised. Such deferred tax assets and liabilities are not recognised if the temporary difference arises from goodwill or from the initial recognition (other than in a business combination) of other assets and liabilities in a transaction that affects neither the taxable profit nor the accounting profit.

The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the period in which the liability is settled or the asset realised, based on tax rates (and tax laws) that have been enacted or substantively enacted by the end of the reporting period. The measurement of deferred tax liabilities and assets reflects the tax consequences that would follow from the manner in which the company expects, at the end of the reporting period, to recover or settle the carrying amount of its assets and liabilities.

(iii) Current and deferred tax for the year

Current and deferred tax are recognised in profit or loss, except when they relate to items that are recognised in other comprehensive income or directly in equity, in which case, the current and deferred tax are also recognised in other comprehensive income or directly in equity respectively.

Employee benefit costs

(i) Company defined contribution retirement benefit scheme

The company participates in a defined contribution scheme for eligible non-unionisable employees operated by Williamson Tea Kenya Limited for its employees. The assets of the scheme are held in a separate trustee administered fund. The scheme is funded from contributions from both the company and employees. The company's contributions to the defined contribution plan are charged to the profit or loss in the year to which they relate.

(ii) Statutory defined contribution pension scheme

The company also contributes to the statutory National Social Security Fund. This is a defined contribution scheme registered under the National Social Security Fund Act. The company's obligations under the scheme are limited to specific contributions legislated from time to time, currently Sh 200 per employee per month. The company's contributions are charged to profit or loss in the year to which they relate.

(iii) Other employee entitlements

Employee entitlements to annual leave are recognised when they accrue to employees. A provision is made for the estimated liability for annual leave accrued at the end of the reporting period.

KAPCHORUA TEA COMPANY LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

I ACCOUNTING POLICIES (Continued)

Employee benefit costs

(iii) Other employee entitlements (Continued)

Unionisable staff who resign or whose services are terminated either due to illness or other reasons after completion of ten years of continuous and meritorious service with the company are entitled to twenty one days pay for each completed year of service by way of gratuity, based on the wages or salary at the time of such resignation or termination of services, as provided for in the trade union agreement with the company. An employee who is dismissed or terminated for gross misconduct is not entitled to gratuity. The service gratuity is provided for in the financial statements based on the present value of benefits payable as they accrue to each employee.

Impairment of tangible and intangible assets excluding goodwill

At the end of each reporting period, the company reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss (if any). Where it is not possible to estimate the recoverable amount of an individual asset, the company estimates the recoverable amount of the cash-generating unit to which the asset belongs. Where a reasonable and consistent basis of allocation can be identified, corporate assets are also allocated to individual cash-generating units, or otherwise they are allocated to the smallest group of cash-generating units for which a reasonable and consistent allocation basis can be identified. Intangible assets with indefinite useful lives and intangible assets not yet available for use are tested for impairment at least annually, and whenever there is an indication that the asset may be impaired.

Impairment of tangible and intangible assets excluding goodwill (Continued)

Recoverable amount is the higher of fair value less costs to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (or cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognised immediately in profit or loss. Where an impairment loss subsequently reverses, the carrying amount of the asset (or a cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (or cash-generating unit) in prior years. A reversal of an impairment loss is recognised immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the reversal of the impairment loss is treated as a revaluation increase.

Foreign currencies

Monetary assets and liabilities expressed in foreign currencies are translated into Kenya Shillings at the rates of exchange ruling at the end of the reporting period. Transactions during the year are translated at the rates ruling at the dates of the transactions. Gains and losses on exchange are dealt with through profit or loss.

Financial instruments

A financial asset or liability is recognised when the company becomes party to the contractual provisions of the instrument.

Financial assets

Classification

The company classifies its financial assets into the following categories: Financial assets at fair value through profit or loss; loans and receivables; held-to-maturity investments; and available-for-sale assets. Management determines the appropriate classification of its investments at initial recognition.

KAPCHORUA TEA COMPANY LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

1 ACCOUNTING POLICIES (Continued)

Financial instruments (continued)

Financial assets (continued)

Classification (Continued)

(i) Financial assets at fair value through profit or loss

This category has two sub-categories: Financial assets held for trading and those designated at fair value through profit or loss at inception. A financial asset is classified in this category if acquired principally for the purpose of selling in the short term or if so designated by management.

(ii) Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. They arise when the company provides money, goods or services directly to a debtor with no intention of trading the receivable.

(iii) Held to maturity investments

Financial assets with fixed or determinable payments and fixed maturity where the company has the positive intent and ability to hold to maturity other than loans and receivables originated by the company are measured at amortised cost.

(iv) Available-for-sale financial assets

Financial assets that are not (a) financial assets at fair value through profit or loss, (b) loans and receivables, or (c) financial assets held to maturity are classified as available-for-sale.

Recognition and measurement

Financial assets are initially recognised at fair value plus transaction costs for all financial assets not carried at fair value through profit or loss.

Available-for-sale financial assets and financial assets at fair value through profit or loss are subsequently carried at fair value. Loans and receivables and held-to-maturity investments are carried at amortised cost using the effective interest method. Gains and losses arising from changes in the fair value of "financial assets at fair value through profit or loss" are included in the profit or loss in the period in which they arise. Gains and losses arising from changes in the fair value of available-for-sale financial assets are recognised in other comprehensive income and accumulated in the investments revaluation reserve, with the exception of impairment losses, interest calculated using the effective interest method, and foreign exchange gains and losses on monetary assets, which are recognised in profit or loss. Where the investment is disposed of or is determined to be impaired, the cumulative gain or loss previously accumulated in the investments revaluation reserve is reclassified to profit or loss. Dividends on available-for-sale equity instruments are recognised in profit or loss the company's right to receive the dividend is established.

Impairment and uncollectability of financial assets

At the end of each reporting period, all financial assets are subject to review for impairment.

If it is probable that the company will not be able to collect all amounts due (principal and interest) according to the contractual terms of loans, and receivables, or held-to-maturity investments carried at amortised cost, an impairment or bad debt loss has occurred. The carrying amount of the asset is reduced to its estimated recoverable amount either directly or through use of an allowance account. The amount of the loss incurred is included in the profit or loss for the year.

If a loss on a financial asset carried at fair value (recoverable amount is below original acquisition cost) has been recognised directly in equity and there is objective evidence that the asset is impaired, the cumulative net loss that had been recognised in other comprehensive income is removed from equity and recognised in the profit or loss for the period even though the financial asset has not been derecognised.

KAPCHORUA TEA COMPANY LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

1 ACCOUNTING POLICIES (Continued)

Financial instruments (continued)

Financial assets (continued)

Recognition and measurement (Continued)

De-recognition of financial assets

Financial assets are derecognised when the contractual rights to receive cash flows from the financial assets have expired or where the company has transferred substantially all risks and rewards of ownership of the asset to another entity. If the company neither transfers nor retains substantially all the risks and rewards of ownership and continues to control the transferred asset, the company recognises its retained interest in the asset and an associated liability for amounts it may have to pay. If the company retains substantially all the risks and rewards of ownership of a transferred financial asset, the company continues to recognise the financial asset and also recognises a collateralised borrowing for the proceeds received.

On derecognition of a financial asset in its entirety, the difference between the asset's carrying amount and the sum of the consideration received and receivable and the cumulative gain or loss that had been recognized in other comprehensive income and accumulated in equity is recognized in profit or loss.

Financial liabilities

Recognition and measurement

After initial recognition, all financial liabilities other than liabilities held for trading are measured at amortised cost. Liabilities held for trading (financial liabilities acquired principally for the purpose of generating a profit from short-term fluctuations in price or dealer's margin) are subsequently measured at their fair values.

(i) Bank borrowings

Interest bearing bank loans and overdrafts are recorded at the proceeds received, net of direct issue costs. Finance charges including premiums payable on settlement or redemption, are accounted for on an accrual basis and are added to the carrying amount of the instrument to the extent that they are not settled in the period they arise.

(ii) Trade payables

Trade payables are carried at cost which is measured at the fair or contracted value of the consideration to be paid in future in respect of goods and services supplied by the suppliers, whether billed or not, to the company.

Derecognition

A financial liability is derecognised when its contractual obligations are redeemed or otherwise extinguished. The difference between the carrying amount of the financial liability derecognised and the consideration paid and payable is recognised in profit and loss.

Offsetting

Financial instrument are set off and the net amount reported in the statement of financial position when there is a legal right to set off the amounts and there is an intention to settle on a net basis or to realise the assets and settle the liability simultaneously.

Cash and cash equivalents

For the purposes of the cash flow statement, cash and cash equivalents comprise cash in hand and deposits held with banks net of bank overdrafts.

Comparatives

Where necessary, comparative figures have been adjusted to conform to changes in presentation in the current year.

KAPCHORUA TEA COMPANY LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

2 CRITICAL JUDGEMENTS AND KEY SOURCES OF ESTIMATION UNCERTAINTY

In the process of applying the company's accounting policies, management has made estimates and assumptions that affect the reported amounts of assets and liabilities within the next financial year. Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. These are dealt with below:

(i) Critical judgements in applying the company's accounting policies

Held to maturity investments

The company follows the guidance of IAS 39 on classifying non-derivative financial assets with fixed or determinable payments and fixed maturity as held-to-maturity financial assets. This classification requires significant judgement. In making this judgement, the company evaluates its intention and ability to hold such investments to maturity. If the company fails to keep these assets to maturity, for example selling an insignificant amount close to maturity, it will be required to classify the entire class as available-for-sale. The assets would therefore have to be measured at fair value and not amortised cost with the difference arising from this change in valuation being a corresponding entry in the fair value reserve in shareholders' equity.

Classification of leases on land and buildings as finance or operating leases

At the inception of each lease of land or building, the company considers the substance rather than the form of the lease contract. Examples of situations that individually or in combination would normally lead to a lease being classified as a finance lease are:

- The lease transfers ownership of the asset to the lessee by the end of the lease term;
- The lessee has the option to purchase the asset at a price that is expected to be sufficiently lower than the fair value at the date the option becomes exercisable for it to be reasonably certain, at the inception of the lease, that the option will be exercised;
- The lease term is for the major part of the economic life of the asset even if title is not transferred;
- At the inception of the lease the present value of the minimum lease payments amounts to at least substantially all of the fair value of the leased asset; and
- The leased assets are of such a specialised nature that only the lessee can use them without major modifications.

The company also considers indicators of situations that individually or in combination could also lead to a lease being classified as a finance lease. Examples of such indicators include:

- If the lessee can cancel the lease, the lessor's losses associated with the cancellation are borne by the lessee;
- gains or losses from the fluctuation in the fair value of the residual accrue to the lessee (for example, in the form of a rent rebate equalling most of the sales proceeds at the end of the lease); and
- the lessee has the ability to continue the lease for a secondary period at a rent that is substantially lower than market rent.

(ii) Key sources of estimation uncertainty

Biological assets

In determining the fair value of biological assets, the company uses the present value of expected cash flows from the asset discounted at the current market determined pre tax rate. The objective of a calculation of the present value of expected net cash flows is to determine the fair value of a biological asset in its present location and condition. The company considers this in determining an appropriate discount rate to be used and in estimating expected net cash flows. Management uses estimates based on historical data relating to yields, prices of made tea and exchange rates. The methodology and assumptions used for estimating both the amount and timing of future cash flows are reviewed regularly to reduce any differences between estimates and actual experience.

KAPCHORUA TEA COMPANY LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

2 CRITICAL JUDGEMENTS AND KEY SOURCES OF ESTIMATION UNCERTAINTY (Continued)

(ii) Key sources of estimation uncertainty (Continued)

Property, plant and equipment

Critical estimates are made by directors in determining the useful lives and residual values to property, plant and equipment based on the intended use of the assets and the economic lives of those assets. Subsequent changes in circumstances or prospective utilisation of the assets concerned could result in the actual useful lives or residual values differing from initial estimates.

3 ANALYSIS OF TURNOVER

	2014 Sh'000	2013 Sh'000
This information is based on the principal activity of the company:		
Tea sales	1,192,378	1,353,068
Timber sales	111	138
	<u>1,192,489</u>	<u>1,353,206</u>
The company's revenue is derived from the following markets:		
Country		
Global markets	1,160,281	1,321,663
Kenya	32,208	31,543
	<u>1,192,489</u>	<u>1,353,206</u>

4 PROFIT BEFORE TAXATION

The profit before taxation is arrived at after charging/(crediting)

Depreciation of property, plant and equipment (note 10)	66,463	70,360
Leasehold land amortisation (note 11)	24	24
Amortisation of intangible assets (note 12)	208	310
Directors' emoluments:		
Non executive		
- fees	1,584	898
- other emoluments	170	290
Staff costs (note 5)	188,601	195,152
Auditors' remuneration	1,819	1,402
Fair value of agricultural produce harvested during the year	(203,003)	(243,512)
Dividend received	(352)	(3)
(Gain)/loss on disposal of plant and equipment	(2,519)	104

5 STAFF COSTS

Wages and salaries	155,455	161,656
Social security costs (NSSF)	2,218	2,769
Pension costs (defined contribution plan)	805	790
Service gratuity and other terminal benefits	18,058	16,006
Medical	3,240	4,091
Leave pay	8,825	9,840
	<u>188,601</u>	<u>195,152</u>

KAPCHORUA TEA COMPANY LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

	2014 Sh'000	2013 Sh'000
6 (a) INTEREST INCOME		
Interest receivable	<u>5,161</u>	<u>13,092</u>
(b) FINANCE COSTS		
Interest on bank overdrafts	687	290
Interest on loans	<u>176</u>	<u>-</u>
	<u>863</u>	<u>290</u>
7 TAXATION		
(a) Taxation charge		
Current taxation based on the adjusted profit at 30%	43,875	53,728
Prior year over provision	<u>702</u>	<u>(214)</u>
	<u>44,577</u>	<u>53,514</u>
Deferred taxation (note 20)		
Charge for the year	12,055	23,432
Prior year over provision	<u>(544)</u>	<u>(911)</u>
	<u>11,511</u>	<u>22,521</u>
	<u>56,088</u>	<u>76,035</u>
(b) Reconciliation of expected tax based on accounting profit to tax charge		
Accounting profit before taxation	<u>182,079</u>	<u>255,753</u>
Tax at the applicable rate of 30%	54,624	76,726
Tax effect of income not deductible for tax purposes	(106)	-
Tax effect of expenses not deductible for tax purposes	1,412	434
Prior year over provision – deferred taxation	(544)	(911)
Prior year over provision – current taxation	<u>702</u>	<u>(214)</u>
	<u>56,088</u>	<u>76,035</u>

KAPCHORUA TEA COMPANY LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

	2014 Sh'000	2013 Sh'000
7 TAXATION (Continued)		
(c) Corporate tax (recoverable)/payable		
At start of year	13,654	(2,330)
Taxation paid	(76,142)	(37,530)
Profit or loss charge – current taxation	43,875	53,728
Prior year over/(under) provision – current taxation	702	(214)
Taxation (recoverable)/payable at 31 March	(17,911)	13,654

8 EARNINGS PER SHARE

Earnings per share is calculated by dividing the profit attributable to shareholders with the weighted average number of ordinary shares in issue during the year.

	2014	2013
Earnings		
Profit for purposes of basic and diluted earnings per share (Sh'000)	125,991	179,718
Number of shares		
Number of ordinary shares (thousands) – Note 19	3,912	3,912
Earnings per share		
Basic and diluted (Sh)	32.21	45.94

There were no potentially dilutive shares outstanding at 31 March 2014 or 31 March 2013.

9 DIVIDENDS

(a) Proposed dividends

The company did not pay an interim dividend in the year 2014 (2013: Nil).

The directors recommend that a final dividend of Sh per share Sh 5 (2013 – Sh 7.50), totalling Sh 19,560,000 (2013 – Sh 29,340,000) be paid to owners of the company.

This dividend is subject to approval by shareholders at the Annual General Meeting to be held on 2 July 2014 and has not been included as a liability in these financial statements.

The dividends payable are subject to, where applicable, deduction of withholding tax as required under the Kenyan Income Tax Act, Chapter 470 Laws of Kenya.

(b) The movement in the dividends payable account is as follows:

	2014 Sh'000	2013 Sh'000
At 1 January	627	674
Final dividend declared	29,339	29,340
Dividends paid	(29,148)	(29,387)
At 31 December	818	627

KAPCHORUA TEA COMPANY LIMITED
NOTES TO THE FINANCIAL STATEMENTS (Continued)

10 PROPERTY, PLANT AND EQUIPMENT

	Buildings Sh'000	Machinery & equipment Sh'000	Tractors & accessories Sh'000	Motor vehicles Sh'000	Office equipment furniture & fittings Sh'000	Computers Sh'000	Work in progress Sh'000	Total Sh'000
COST OR VALUATION								
At 1 April 2012	265,183	148,226	25,286	18,433	3,077	10,743	33,490	504,438
Additions	859	2,483	6,465	2,112	-	1,463	18,359	31,741
Disposals	-	(2,130)	-	-	-	-	-	(2,130)
Transfer from work in progress	10,413	38,130	-	-	-	-	(48,543)	-
Transfer to biological assets	-	-	-	-	-	-	(1,719)	(1,719)
At 31 March 2013	276,455	186,709	31,751	20,545	3,077	12,206	1,587	532,330
Comprising:								
At valuation - 2012	265,183	146,096	-	-	-	-	-	411,279
At cost	11,272	40,613	31,751	20,545	3,077	12,206	1,587	121,051
At 1 April 2013	276,455	186,709	31,751	20,545	3,077	12,206	1,587	532,330
Additions	14,457	11,463	7,695	5,085	513	368	1,587	532,330
Disposals	-	(3,883)	-	(1,500)	-	-	7,476	47,057
Transfer from work in progress	-	568	-	-	-	-	-	(5,383)
Transfer to biological assets	-	-	-	-	-	-	(568)	-
At 31 March 2014	290,912	194,857	39,446	24,130	3,590	12,574	7,476	572,985
Comprising:								
At valuation - 2012	265,175	142,209	-	-	-	-	-	407,384
At cost	25,729	52,648	39,446	24,130	3,590	12,574	7,476	165,601
At 31 March 2014	290,912	194,857	39,446	24,130	3,590	12,574	7,476	572,985

KAPCHORUA TEA COMPANY LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

10 PROPERTY, PLANT AND EQUIPMENT (Continued)

	Buildings Sh'000	Machinery & equipment Sh'000	Tractors & accessories Sh'000	Motor vehicles Sh'000	Office equipment furniture and fittings Sh'000	Computers Sh'000	Work in progress Sh'000	Total Sh'000
DEPRECIATION								
At 1 April 2012	-	3,073	19,341	13,019	480	7,548	-	43,461
Charge for the year	33,474	29,590	3,038	2,690	308	1,260	-	70,360
At 31 March 2013	33,474	32,663	22,379	15,709	788	8,808	-	113,821
At 1 April 2013	33,474	32,663	22,379	15,709	788	8,808	-	113,821
Charge for the year	33,622	25,401	3,701	1,901	330	1,508	-	66,463
Disposals	-	(1,941)	-	(1,500)	-	-	-	(3,441)
At 31 March 2014	67,096	56,123	26,080	16,110	1,118	10,316	-	176,843

NET BOOK VALUE

At 31 March 2014	223,816	138,734	13,366	8,020	2,472	2,258	7,476	396,142
At 31 March 2013	242,981	154,046	9,372	4,836	2,289	3,398	1,587	418,509
NET BOOK VALUE (Cost basis)								
At 31 March 2014	81,534	122,595	13,366	8,020	2,472	2,258	7,476	237,721
At 31 March 2013	78,800	137,613	9,372	4,836	2,289	3,398	1,587	207,030

Included in property, plant and equipment are assets with an original cost of Sh 20,485,619 (2013 - Sh 23,503,177) which are fully depreciated and whose normal depreciation charge for the year would have been Sh 5,295,372 (2013 - Sh 6,756,961).

Buildings, machinery and equipment were last revalued as at 31 March 2012 by Lloyd Masika Limited, registered valuers and estate agents on replacement cost basis. Capital work in progress relates to land preparation, construction of firewood shades and plants.

KAPCHORUA TEA COMPANY LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

10 PROPERTY, PLANT AND EQUIPMENT (Continued)

Fair value measurement of the company's buildings and machinery & equipment

The company's buildings and machinery and equipment are stated at their revalued amounts, being the fair values at the date of revaluation, less any subsequent accumulated depreciation and subsequent accumulated impairment losses. The fair value measurements of the company's buildings and machinery & equipment as at 31 March 2012 was performed by Lloyd Masika Limited, registered and independent valuers. Lloyd Masika Limited are registered valuers with the Valuers Registration Board and they have appropriate qualifications and relevant and recent experience in the fair value measurement of properties in the various locations in Kenya. The fair value of buildings was determined by reference to market evidence of recent transactions for similar properties.

Details of the company's buildings and machinery and equipment and information about fair value hierarchy as at 31 March 2014 are as follows:

	Level 1 Sh'000	Level 2 Sh '000	Level 3 Sh'000	Fair value as at 31 December Sh '000
31 March 2014				
Buildings	-	223,816	-	223,816
Machinery and equipment	-	138,734	-	138,734
	-	362,550	-	362,550
31 March 2013				
Buildings	-	242,981	-	242,981
Machinery and equipment	-	154,046	-	154,046
	-	397,027	-	397,027

There were no transfers between level 1 and level 2 during the year.

KAPCHORUA TEA COMPANY LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

		2014 Sh'000	2013 Sh'000
11	PREPAID OPERATING LEASES		
	COST		
	At beginning and end of year	24,131	24,131
	ACCUMULATED AMORTISATION		
	At beginning of year	2,438	2,414
	Charge for the year	24	24
	At end of year	2,462	2,438
	NET BOOK VALUE		
	At end of year	21,669	21,693
12	INTANGIBLE ASSETS – COMPUTER SOFTWARE		
	COST		
	At beginning and end of year	3,245	3,245
	ACCUMULATED AMORTISATION		
	At beginning of year	2,990	2,680
	Charge for the year	208	310
	At end of year	3,198	2,990
	NET BOOK VALUE		
	At end of year	47	255
13	UNQUOTED INVESTMENTS – AT COST		
	<i>Available for sale:</i>		
	503,930 Shares shares of Sh 10 each in Kenya Tea Packers Limited	717	717

KAPCHORUA TEA COMPANY LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

14 BIOLOGICAL ASSETS

	Tea bushes & nurseries Sh'000	Timber trees Sh'000	Fuel trees Sh'000	2014 Total Sh'000	2013 Total Sh'000
Carrying amount at beginning of year	591,418	119,740	102,806	813,964	726,731
Expenditure during the year	3,511	(347)	1,008	4,172	3,706
Transfer from property, plant & equipment	1,019	-	-	1,019	1,719
	<u>595,948</u>	<u>119,393</u>	<u>103,814</u>	<u>819,155</u>	<u>732,156</u>
Gains arising from changes in fair value attributable to physical changes	78,900	23,115	5,744	107,759	31,877
(Losses)/gains arising from changes in fair value attributable to price changes	5,131	-	(19,327)	(14,196)	67,717
Disposals	-	(3,577)	(20,175)	(23,752)	(17,786)
Net fair value gains/(losses)	<u>84,031</u>	<u>19,538</u>	<u>(33,758)</u>	<u>69,811</u>	<u>81,808</u>
Carrying amount at end of year	<u>679,979</u>	<u>138,931</u>	<u>70,056</u>	<u>888,966</u>	<u>813,964</u>

Significant assumptions made by the directors in determining the fair values of biological assets are as set out below:

- Tea bushes are considered to be productive for an estimated period of 30 years from the year of first harvest. After an average of 30 years of production, the yields become sub-optimal and tea bushes are uprooted and replaced.
- The expected market price of tea will remain constant, based on the dollar average price for the last five years and the ruling rate of exchange at year end. Firewood and timber prices are also expected to remain constant.
- A discount rate of 14.8% per annum is applied to discount the expected net cash flows arising from the asset.
- Based on the biological transformation which the tea bushes and tea leaf undergo, 60% of future cash flows less point of sale costs and tea processing income are discounted to determine the fair value of mature tea bushes. The remaining 40% of net market value is assigned to regeneration of tea leaf.
- The maturity period of firewood and timber trees is between 5 and 25 years depending on the species of the tree.

KAPCHORUA TEA COMPANY LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

		2014 Sh'000	2013 Sh'000
15	INVENTORIES		
	Tea stocks	150,506	157,604
	Stores	33,534	24,247
	Firewood	10,896	11,525
		<u>194,936</u>	<u>193,376</u>
16	TRADE AND OTHER RECEIVABLES		
	Tea receivables	234,818	278,634
	VAT recoverable	20,118	29,999
	Staff receivables	3,076	5,806
	Other	5,763	-
		<u>263,775</u>	<u>314,439</u>
17	RELATED COMPANIES BALANCES		
	Due from:		
	Tinderet Tea Estates (1989) Limited	10,208	4,750
	Kaimosi Tea Estates Limited	132	-
		<u>10,340</u>	<u>4,750</u>
	Due to:		
	Williamson Tea Kenya Limited	14,637	84,837
	Kaimosi Tea Estates Limited	-	5,373
	Williamson Power Limited	107	134
		<u>14,744</u>	<u>90,344</u>

The related party balances are unsecured, interest free and have no fixed repayment period.

18	SHORT TERM DEPOSITS		
		2014 Sh'000	2013 Sh'000
	Held to maturity:		
	Maturing within 90 days		
	Bank of Africa Limited	-	36,145
	NIC Bank Limited	-	145,643
		<u>-</u>	<u>181,788</u>

The effective average interest rate on fixed deposits at 31 March 2014 was Nil (2013: 14.69%).

KAPCHORUA TEA COMPANY LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

	2014 Sh'000	2013 Sh'000
19 SHARE CAPITAL		
Authorised, issued and fully paid:		
3,912,000 ordinary shares of Sh 5 each	19,560	19,560
20 DEFERRED TAXATION		
Deferred income taxation is calculated on all temporary differences under the liability method using the enacted tax rate of 30%.		
	2014 Sh'000	2013 Sh'000
The net deferred income tax liability is attributable to the following items:		
Deferred tax liabilities:		
Accelerated capital allowances	81,139	82,732
Unrealised exchange gains	52	455
Revaluation surplus	64,542	69,004
Fair value adjustment – biological assets	216,307	195,364
	362,040	347,555
Deferred tax assets:		
Provision for employee entitlements	(28,917)	(26,021)
Leave pay provision	(1,643)	(1,537)
Stock provision	(1,119)	(1,134)
Provision for bad debts	(111)	(124)
	(31,790)	(28,816)
	330,250	318,739
Net deferred tax liability		
The movement on the deferred income tax account is as follows:		
At beginning of the year	318,739	296,218
Charge to profit or loss (note 7(a))	12,055	23,432
Prior year under provision	(544)	(911)
At end of year	330,250	318,739
21 PROVISION FOR EMPLOYEE ENTITLEMENTS		
At beginning of year	86,738	76,149
Provision for the year	18,058	16,857
Payments made in the year	(8,405)	(6,268)
At end of year	96,391	86,738

KAPCHORUA TEA COMPANY LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

	2014 Sh'000	2013 Sh'000
22 TRADE AND OTHER PAYABLES		
Trade payables	35,799	23,369
Accruals	31,916	18,396
Other payables	33,103	39,422
Green leaf accruals*	-	198,049
Leave pay provision	5,475	5,124
	<u>106,293</u>	<u>284,360</u>

*The decline in the green leaf provision is due to the adoption of a one-off payment system in which the out growers are paid once during purchase of green leaf. The company therefore does not hold any green leaf provision for the purposes of payment of the tea bonus.

23 NOTES TO THE STATEMENT OF CASH FLOWS

(a) Reconciliation of profit before taxation to cash (used in)/generated from operations

Profit before taxation	182,079	255,753
Adjustments for:		
Depreciation of property and equipment	66,463	70,360
Amortisation of intangible assets	208	310
Leasehold land amortisation	24	24
(Gain)/loss on disposal of plant and equipment	(2,519)	104
Fair value adjustments- biological assets	(69,811)	(81,808)
Interest paid	863	290
Interest received	(5,161)	(13,092)
Dividend received	(352)	(3)
	<u>171,794</u>	<u>231,938</u>
Working capital changes:		
Increase in inventories	(1,560)	(66,002)
Decrease in trade and other receivables	50,664	113,070
Decrease in trade and other payables	(178,067)	(86,856)
Increase in provision for employee entitlements	9,653	10,589
Movement in related company balances	(81,190)	4,845
	<u>(28,706)</u>	<u>207,584</u>
Cash (used in)/generated from operations	<u>(28,706)</u>	<u>207,584</u>

KAPCHORUA TEA COMPANY LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

23 NOTES TO THE CASH FLOW STATEMENT (Continued)

	2014 Sh'000	2013 Sh'000
(b) Analysis of balances of cash and cash equivalents		
Cash and bank balances	134,658	128,984
Short term deposits (note 18)	-	181,788
	<u>134,658</u>	<u>310,772</u>

For the purpose of the cash flow statement, cash and cash equivalents comprise balances that are convertible to known amounts of cash and which are within three months to maturity from the date of acquisition; less advances from banks repayable within three months from date of the advance.

24 RELATED PARTY TRANSACTIONS

The company transacts with other companies related to it by virtue of common shareholding. Amounts not settled as at the end of the reporting period are disclosed in note 17:

	2014 Sh'000	2013 Sh'000
Sales of goods/services:		
Sales through a related party – Williamson Tea Holdings Limited	<u>1,160,281</u>	<u>1,321,663</u>
During the year the following transactions were entered into with related parties		
Purchase of goods/services:		
Service of generators – Williamson Power Ltd	519	110
Agency fees-Cohen & Griffiths	34,741	39,934
Central charges-Williamson Tea Kenya Limited	46,841	56,223
Interest charged on Parent Company Loans	176	-
Green leaf purchases- Kaimosi Tea company Ltd	<u>6,401</u>	<u>-</u>

Compensation of key management personnel

The remuneration of directors and other members of key management during the period was as follows:

Directors' emoluments – Non executive

Fees and allowances for services as directors	<u>1,754</u>	<u>1,188</u>
Key management remuneration		
Salaries and other benefits	<u>9,610</u>	<u>9,601</u>

KAPCHORUA TEA COMPANY LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

	2014 Sh'000	2013 Sh'000
25 CONTINGENT LIABILITIES		
Kenya Power and Lighting Limited guarantees	<u>6,650</u>	<u>6,650</u>
26 CAPITAL COMMITMENTS		
Authorised and contracted for	-	-
Authorised but not contracted for	63,916	179,100
	<u>63,916</u>	<u>179,100</u>

The capital commitments relate to the company's capital budget for 2014. The company intends to finance these commitments from internally generated funds, asset financing from the bank and loans from related companies.

27 CAPITAL MANAGEMENT

The company manages its capital to ensure that it will be able to continue as a going concern while maximising the return to stakeholders through the optimisation of the debt and equity balance.

The capital structure of the company consists of cash and cash equivalents and equity attributable to equity holders, comprising issued capital and revenue reserves.

Consistent with others in the industry, the company monitors capital on the basis of the gearing ratio. This ratio is calculated as net debt divided by total capital. Net debt is calculated as total borrowings less cash and cash equivalents.

	2014 Sh'000	2013 Sh'000
Share capital	19,560	19,560
Revenue reserves	1,210,202	1,096,010
Equity	<u>1,229,762</u>	<u>1,115,570</u>
Less: cash and cash equivalents	<u>(134,658)</u>	<u>(310,772)</u>
Net cash	<u>(134,658)</u>	<u>(310,772)</u>
Gearing ratio	<u>Nil</u>	<u>Nil</u>

The company had no borrowings as at year end (2013: Sh nil).

KAPCHORUA TEA COMPANY LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

28 FINANCIAL RISK MANAGEMENT

The company's activities expose it to a variety of financial risks, including credit risk and the effects of changes in debt and equity market prices, foreign currency exchange rates and interest rates. The company's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on its financial performance.

Risk management is carried out by the finance department under policies approved by the Board of Directors. Finance department identifies, evaluates and hedges financial risks. The Board provides written principles for overall risk management, as well as written policies covering specific areas such as foreign exchange risk, interest rate risk, credit risk, use of derivative and non-derivative financial instruments and investing excess liquidity.

The company has exposure to the following risks due to its use of financial instruments;

- credit risk
- liquidity risk
- market risk

Credit risk

Credit risk arises from cash and cash equivalents, deposits with banks, trade receivables as well as due from related parties. The credit risk on liquid funds and bank balances is limited because the counter parties are banks with high credit ratings assigned by international credit rating agencies.

The company management assesses the credit quality of each customer, taking into account its financial position, past experience and other factors. Individual risk limits are set based on internal or external ratings in accordance with limits set by the board. The utilisation of credit limits is regularly monitored.

The company does not have significant credit exposure to any single counter party or any group of counter parties having similar characteristics. The company defines counterparties as having similar characteristics if they are related.

The company has policies in place to ensure that sales are made to customers with an appropriate credit history.

The amount that best represents the company's maximum exposure to credit risk as at 31 March 2014 is made up as follows:

	Fully performing Sh'000	Past due but not impaired Sh'000	Impaired Sh'000	Total Sh'000
Trade receivables	235,187	-	(369)	234,818
Due from related parties	10,340	-	-	10,340
Bank balances	134,658	-	-	134,658

KAPCHORUA TEA COMPANY LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

28 FINANCIAL RISK MANAGEMENT

Credit risk (Continued)

The amount that best represents the company's maximum exposure to credit risk as at 31 March 2013 is made up as follows:

	Fully performing Sh'000	Past due but not impaired Sh'000	Impaired Sh'000	Total Sh'000
Trade receivables	279,048	-	(414)	278,634
Due from related parties	4,750	-	-	4,750
Short term deposits	181,788	-	-	181,788
Bank balances	128,984	-	-	128,984

The customers under the fully performing category are paying their debts as they continue trading.

The receivables that are past due relate to trade receivables overdue by over 60 days. The receivables are not impaired and continue to be paid. The finance department is actively following these receivables.

Liquidity risk

Ultimate responsibility for liquidity risk management rests with the board of directors, which has built an appropriate liquidity risk management framework for the management of the company's short, medium and long term funding and liquidity management requirements. The company manages liquidity risk by maintaining adequate reserves, banking facilities and reserve borrowing facilities, by continuously monitoring forecast and actual cash flows and matching the maturity profiles of financial assets and liabilities.

The following table analyses the company's financial liabilities that will be settled on a net basis into relevant maturity groupings based on the remaining period at the end of the financial statement position date to the contractual maturity date. The amounts disclosed in the table below are the contractual undiscounted cash flows. Balances due within 12 months equal their carrying balances, as the impact of discounting is not significant.

	Up to 1 month Sh'000	1-3 months Sh'000	3-12 months Sh'000	1-5 years Sh'000	Over 5 years Sh'000	Total Sh'000
At 31 March 2014						
Trade payables	30,240	10,453	(4,894)	-	-	35,799
Due to related parties	14,744	-	-	-	-	14,744
Total financial liabilities	44,984	10,447	(4,894)	-	-	50,543
At 31 March 2013						
Trade payables	22,240	1,129	-	-	-	23,369
Due to related parties	90,344	-	-	-	-	90,344
Total financial liabilities	112,584	1,129	-	-	-	113,713

KAPCHORUA TEA COMPANY LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

28 FINANCIAL RISK MANAGEMENT (Continued)

Market risk

(i) Foreign exchange risk

The company undertakes certain transactions denominated in foreign currencies. Exchange rate exposures are managed within approved policy parameters.

The carrying amounts of the company's foreign currency denominated monetary assets and liabilities at the end of each reporting period as follows:

	USD Sh'000	GBP Sh'000	EURO Sh'000	Total Sh'000
2014				
Assets				
Bank and cash balances	107,995	20,507	-	128,502
Trade receivables	209,440	22,385	1,281	233,106
	<u> </u>	<u> </u>	<u> </u>	<u> </u>
2013				
Assets				
Bank balances	100,084	25,221	-	125,305
Trade receivables	260,350	18,695	-	279,045
	<u> </u>	<u> </u>	<u> </u>	<u> </u>

Foreign exchange risk - appreciation/depreciation of Sh against other currencies by 1%.

The following sensitivity analysis shows how profit and equity would change if the market risk variables had been different on the balance sheet date with all other variables held constant.

	2014 Sh'000		2013 Sh'000	
	Effect on profit	Effect on equity	Effect on profit	Effect on equity
Currency - GB pounds				
+ 1 percentage point movement	428	300	439	307
-1 percentage point movement	(428)	(300)	(439)	(307)
Currency - US dollars				
+ 1 percentage point movement	3,174	2,222	725,681	507,976
- 1 percentage point movement	(3,174)	(2,222)	(725,681)	(507,976)
	<u> </u>	<u> </u>	<u> </u>	<u> </u>

(ii) Interest rate risk

Interest rate risks arise from fluctuations in the bank borrowing rates. The interest rates vary from time to time depending on the prevailing economic circumstances. The company closely monitors the interest rate trends to minimize the potential adverse impact of interest rate changes. The company's policy is to borrow in the same currency as the trading currency to minimise interest rate risk exposure.

The company did not have any loan balances for the period under review, therefore not susceptible to interest rate risk in this period.

KAPCHORUA TEA COMPANY LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

28 FINANCIAL RISK MANAGEMENT (Continued)

Financial risks arising from involvement in agricultural activity

The company is exposed to financial risks arising from changes in tea prices. The company reviews its outlook for tea prices regularly in considering the need for active financial risk management. This is achieved through the marketing agent based in the United Kingdom.

29 OPERATING SEGMENT INFORMATION

The entity's business is not organised on the basis of differences in related products and services or differences in geographical areas of operation.

30 COUNTRY OF INCORPORATION

The company is incorporated and domiciled in Kenya under the Companies Act.

31 CURRENCY

These financial statements are presented in Kenya Shillings thousands (Sh'000).

FORM OF PROXY

The Company Secretary
Kapchorua Tea Company Limited
Williamson House
P O Box 42281
Nairobi

I/We _____

CAPITAL LETTERS PLEASE

of _____

being a Member/Members of Kapchorua Tea Company do hereby appoint

of _____

or failing him/her the Chairman of the Meeting as my proxy to vote for me/us and on my/our behalf at the Annual General Meeting and/or Extraordinary General Meeting of the Company to be held on 2 July 2014, at The Nairobi Club, Ngong Road, Nairobi and at any adjournment thereof.

As witness my/our hand this _____ day of _____ 2014

SIGNATURE

KAPCHORUA TEA COMPANY LIMITED

DETAILED INCOME STATEMENT

(Measurement of biological assets and agricultural produce at actual cost for taxation purposes)
FOR THE YEAR ENDED 31 MARCH 2014

	2014 Sh	2013 Sh
GROSS TEA & TIMBER SALES	1,192,489,068	1,353,205,869
PRODUCTION EXPENDITURE - TEA (Appendix 2)	(982,880,027)	(1,085,799,136)
- TIMBER	-	(20,645)
GROSS PROFIT	209,609,041	267,386,088
OTHER OPERATING INCOME (Appendix 3)	7,502,033	3,903,219
FINANCE INCOME (Appendix 3)	5,160,746	13,091,985
DISTRIBUTION COSTS (Appendix 3)	(105,007,365)	(109,299,757)
ADMINISTRATIVE EXPENSES (Appendix 3)	(5,577,362)	(4,265,555)
FOREIGN EXCHANGE GAINS/(LOSSES) (Appendix 3)	1,444,043	3,419,122
FINANCE COSTS (Appendix 3)	(863,345)	(290,070)
PROFIT BEFORE TAXATION	112,267,791	173,945,032

Reconciliation of results based on fair valuation of biological assets and agricultural produce to results based on actual cost of biological assets and agricultural produce:

	2014 Sh'000	2013 Sh'000
PROFIT BEFORE TAX AS ABOVE	112,268	173,945
FAIR VALUE ADJUSTMENT ON BIOLOGICAL ASSETS	69,811	81,808
PROFIT BEFORE TAX AS PER STATEMENT OF COMPREHENSIVE INCOME (PAGE 17)	182,079	255,753

Appendix 2

KAPCHORUA TEA COMPANY LIMITED

DETAILED INCOME STATEMENT
FOR THE YEAR ENDED 31 MARCH 2014

	2014 Sh	2013 Sh
TEA PRODUCTION EXPENDITURE		
Plucking	91,115,732	92,597,124
Manufacturing	93,278,713	98,675,013
Fertilisers	27,368,273	26,699,077
Packing	18,552,528	20,125,729
Machinery maintenance	21,377,392	20,005,161
Cultivation	11,991,552	10,891,999
Cesses	3,323,999	4,274,008
Building maintenance	9,800,299	7,432,543
Roads and boundaries	4,866,429	3,660,623
Fuel plantation	125,652	321,538
	281,800,569	284,682,815
GREEN LEAF PURCHASES	456,209,169	657,240,761
OVERHEADS		
Depreciation of property, plant and equipment	66,463,139	70,359,914
Amortisation of leasehold property	207,728	310,121
Central charges	53,604,184	59,093,180
Leasehold land amortisation	24,155	24,155
Garden staff	27,955,690	20,810,310
Estate transport	4,063,532	3,838,127
Labour welfare	27,022,181	27,508,992
Subordinate staff	3,858,118	5,145,883
Insurances	8,669,137	10,281,729
Superintendence	5,504,379	2,989,312
Security	7,650,144	6,426,453
Office running	2,330,209	2,478,921
Medical charges	3,239,597	3,749,746
Donations	3,479,401	525,756
Water	2,535,701	6,316,457
Subscriptions	380,646	658,812
Rents and licences	2,661,033	1,731,963
Travelling	65,019	424,186
Service gratuity and other terminal dues	18,057,684	16,006,324
	237,771,677	238,680,341
Production expenditure	975,781,415	1,180,603,917
Less: closing tea stocks	(150,505,726)	(157,604,337)
Add: opening tea stocks	157,604,338	62,799,556
	982,880,027	1,085,799,136

KAPCHORUA TEA COMPANY LIMITED

DETAILED INCOME STATEMENT
FOR THE YEAR ENDED 31 MARCH 2014

	2014 Sh	2013 Sh
OTHER INCOME		
Miscellaneous receipts	4,368,397	3,707,335
Rent receivable	262,173	297,700
Dividends receivable	352,159	2,683
Gain/(loss) on sale of plant and equipment	2,519,304	(104,499)
	<u>7,502,033</u>	<u>3,903,219</u>
INTEREST INCOME		
Interest receivable	<u>5,160,746</u>	<u>13,091,985</u>
DISTRIBUTION COSTS		
Ocean freight and marine insurance	14,202,924	17,129,558
Transport to coast and coast charges	56,063,488	52,236,381
Agency fees	34,740,953	39,933,818
	<u>105,007,365</u>	<u>109,299,757</u>
ADMINISTRATIVE EXPENSES		
Professional fees	2,004,214	1,676,035
Auditors' remuneration	1,819,228	1,401,600
Directors' fees and expenses	1,753,920	1,187,920
	<u>5,577,362</u>	<u>4,265,555</u>
FOREIGN EXCHANGE GAINS		
Net foreign exchange gains - net	<u>1,444,043</u>	<u>3,419,122</u>
FINANCE COSTS		
Interest on bank overdrafts	686,907	290,070
Interest on loans	176,438	-
	<u>863,345</u>	<u>290,070</u>